

Amãna Bank



Amana Bank PLC (PB 3618 PQ)

Interim Financial Statements

31 December 2024

Vision

To be an admired leader in providing equitable financial solutions, not limited to numerics, but also in earning the trust of our customers, employees, shareholders and country.

Mission

To adopt a unique and people friendly approach in banking with a passion for continuous improvement, enabling growth and enriching lives.



Amana Bank continues robust performance in 2024

- *Advances grow by 24% with industry low Stage 3 Impairment*
- *Deposit up by 16% with industry high CASA of 44%*
- *PBT up by 21% to close at LKR 2.8 billion as PAT grows 28% to reach LKR 1.8 bn*

Amana Bank PLC continued its robust performance to conclude 2024 on a strong note as the Bank recorded a Profit After Tax growth of 28% to reach LKR 1.8 billion from LKR 1.4 billion posted in 2023. Reflecting a healthy 21% growth, Profit Before Tax for the same period grew from LKR 2.3 billion to close at LKR 2.8 billion.

This strong bottom-line performance was achieved despite the impact of declining market rates. The Bank maintained a healthy financing margin of 4.0%, resulting in the Bank's Net Financing Income improving by 6% to reach LKR 6.9 billion from LKR 6.5 billion a year ago.

Driven by trade volumes generated from our valued SME and Corporate customers as well as increased digital transactions and other value-added services, the Bank's Net Fee and Commission income grew by 16% to cross the 1 billion milestone to close at LKR 1.1 billion. In the backdrop of excess USD liquidity in the market and the resultant drop in premium, the Bank reported a Trading Income of LKR 0.7 billion. With improvements in the operating environment and asset quality, supported by timely customer engagements, the Bank's Impairment Charges reduced by 86% or from LKR 2.1 billion to LKR 0.3 billion, resulting in the Bank's Net Operating Income increasing by 18% or LKR 1.3 billion to reach LKR 8.4 billion.

Despite increase in operating expenses mainly connected with the Bank's drive to expand its reach and related expenses, the Bank maintained a cost to income ratio of 53%, resulting in an 18% increase in Operating Profit before VAT on Financial Services and Social Security Levy to LKR 3.8 billion from LKR 3.2 billion in 2023. The Bank's aggregate tax contribution of LKR 2.0 billion accounted for a significant 53% of the Bank's Operating Profit before all taxes.

As a result of the growing demand for Bank's people friendly banking model, Customer Advances grew significantly by 24% or LKR 21.6 billion as it crossed the 100 billion mark, ending the year with a portfolio of LKR 111.3 billion compared to LKR 89.7 billion in 2023. This performance was achieved while continuing to have one of the lowest industry-wide Stage 3 Impaired financing ratio of 1.3% owing to the Bank's effective risk management and underwriting framework, driven by its unique people friendly and development focused approach.

Crossing the 150 billion milestone, Customer Deposits recorded a noteworthy growth of 16% or LKR 21.5 billion to close the year on LKR 154.4 billion, while maintaining an industry high CASA ratio of 44%. The Bank's Total Assets grew by LKR 22.9 billion or 14% YoY from LKR 159.5 billion in 2023 to post a solid LKR 182.3 billion as at end-December 2024.

The Bank's Return on Equity and Return on Assets improved to 8.0% and 1.6%, respectively. Further, Amana Bank's Common Equity Tier 1 ratio stood at 15.0%, whilst Total Capital ratio was at 17.6%, well above the regulatory minimum requirement of 7% and 12.5% respectively.

In 2024, a key milestone further validating the Bank's financial strength was Fitch Ratings Sri Lanka upgrading Amana Bank's national long-term rating from BB+(lka) to an investment-grade rating of

BBB-(Ika) with a stable outlook—unlocking new opportunities for growth and expansion that benefit all stakeholders. Further cementing the Bank’s stability and growth potential, Lanka Rating Agency in their initial assessment, assigned Amana Bank a national long-term rating of BBB+ with a stable outlook. Demonstrating its strength and industry leadership, Amana Bank was ranked among the World’s Top 25 Strongest Islamic Banks by The Asian Banker, rising to 24th place from 37th in 2023.

Towards creating value to its shareholders, Amana Bank declared its 7th consecutive dividend in 2024, being the highest ever dividend payout so far, totalling LKR 661 million which marks a doubling of the dividend paid in 2023.

Commenting on the Bank’s 2024 performance Chairman Asgi Akbarally stated “Against the backdrop of an improving operating environment and economic conditions, Amana Bank has once again delivered a strong performance, demonstrating the resilience of our unique banking model. Our continued growth, solid financial position, and recognition by credit rating agencies underscore the trust and confidence placed in us by our customers and stakeholders. I extend my sincere appreciation to my fellow Directors, our management, and staff for their dedication and commitment, as well as to our customers and shareholders for their unwavering trust and support. As we move forward, we remain committed to driving sustainable growth while delivering value to all those we serve.”

Also sharing his views Managing Director/CEO Mohamed Azmeer said “With improving economic conditions, Amana Bank has been able to accelerate its growth momentum, surpassing key milestones and strengthening our market position. Our performance reflects the Bank’s unwavering focus on customer-centricity, prudent risk management, and operational excellence. I would like to extend my heartfelt gratitude to our Chairman and Board of Directors for their guidance and oversight, our management and staff for their relentless efforts, and our shareholders, customers, and valued partners for their continued trust and confidence. We are excited about the opportunities that lie ahead as we continue to expand our reach and enhance our value proposition, ensuring we remain a trusted financial partner for our customers.”

Amāna Bank PLC is a stand-alone institution licensed by the Central Bank of Sri Lanka and listed on the Colombo Stock Exchange with Jeddah-based IsDB Group being the principal shareholder of the Bank. The IsDB Group is a ‘AAA’ rated multilateral development financial institution with a membership of 57 countries. Testifying its position as a leading practitioner of the non-interest based banking model, Amāna Banks was recognized amongst the Top 25 Strongest Islamic Bank’s in the World by The Asian Banker.

Amāna Bank does not have any subsidiaries, associates, or affiliated institutions apart from its engagement with OrphanCare as its Founding Sponsor.

STATEMENT OF PROFIT OR LOSS

FOR THE	YEAR ENDED 31 DECEMBER			QUARTER ENDED 31 DECEMBER		
	2024	2023	Change	2024	2023	Change
	(Rs. '000)	(Rs. '000)	%	(Rs '000)	(Rs '000)	%
	(AUDITED)	(AUDITED)		(AUDITED)	(AUDITED)	
Financing Income	15,399,562	17,238,373	(11%)	3,698,533	4,264,078	(13%)
Financing Expenses	(8,525,273)	(10,743,450)	(21%)	(1,955,957)	(2,619,533)	(25%)
Net Financing Income	6,874,289	6,494,923	6%	1,742,576	1,644,545	6%
Net Fee and Commission Income	1,077,338	931,311	16%	284,980	229,859	24%
Net Trading Income	693,113	1,765,214	(61%)	121,315	598,235	(80%)
Net Gains / (Losses) from Financial Investments at Fair Value through Profit or Loss	38,985	15,113	158%	35,241	(1,724)	(2,144%)
Net Gains / (Losses) from Derecognition of Financial Assets	(70)	983	(107%)	1,350	864	56%
Net Other Operating Income	5,990	2,983	101%	3,207	864	271%
Total Operating Income	8,689,645	9,210,527	(6%)	2,188,669	2,472,643	(11%)
Impairment Charges	(289,613)	(2,120,743)	(86%)	96,599	(671,994)	(114%)
Net Operating Income	8,400,032	7,089,784	18%	2,285,268	1,800,649	27%
Personnel Expenses	2,274,494	1,975,990	15%	586,606	625,018	(6%)
Depreciation and Amortisation of Property, Plant, Equipment and Right-of-Use Assets	321,840	307,603	5%	82,034	107,426	(24%)
Other Operating Expenses	2,012,680	1,587,479	27%	519,582	392,379	32%
Total Operating Expenses	4,609,014	3,871,072	19%	1,188,222	1,124,823	6%
Operating Profit Before VAT on Financial Services and Social Security Contribution Levy	3,791,018	3,218,712	18%	1,097,046	675,826	62%
VAT on Financial Services	(886,820)	(797,381)	11%	(258,617)	(9,997)	2,487%
Social Security Contribution Levy	(117,355)	(109,139)	8%	(34,438)	(30,461)	13%
Profit Before Tax	2,786,843	2,312,192	21%	803,991	635,368	27%
Tax Expense	(1,012,177)	(925,415)	9%	(148,663)	(140,050)	6%
Profit for the Period	1,774,666	1,386,777	28%	655,328	495,318	32%
Earnings Per Share -						
- Basic (in Rs.)	3.22	2.52	28%	1.19	0.90	32%
- Diluted (in Rs.)	3.22	2.52	28%	1.19	0.90	32%

STATEMENT OF COMPREHENSIVE INCOME

FOR THE	YEAR ENDED 31 DECEMBER			QUARTER ENDED 31 DECEMBER		
	2024	2023	Change	2024	2023	Change
	(Rs. '000)	(Rs. '000)	%	(Rs '000)	(Rs '000)	%
	(AUDITED)	(AUDITED)		(AUDITED)	(AUDITED)	
Profit for the Period	1,774,666	1,386,777	28%	655,328	495,318	32%
Other Comprehensive Income/(Loss)						
Other Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:						
Financial Assets - Fair Value through Other Comprehensive Income:						
Net Gain / (Loss) on Financial Assets - Fair Value through Other Comprehensive Income	29,710	(13,505)	320%	48,617	(10,804)	(550%)
	29,710	(13,505)	(320%)	48,617	(10,804)	(550%)
Retirement Benefit Liability	(36,125)	(5,004)	622%	(36,125)	(5,004)	622%
Deferred Tax Effect on Retirement Benefit Liability	10,838	1,501	(622%)	10,838	1,501	(622%)
	(25,287)	(3,503)	622%	(25,287)	(3,503)	622%
Net Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:	4,423	(17,008)	(126%)	23,330	(14,306)	(263%)
Other Comprehensive Income / (Loss) for the Period Net of Tax	4,423	(17,008)	(126%)	23,330	(14,306)	(263%)
Total Comprehensive Income for the Period	1,779,089	1,369,769	30%	678,658	481,012	41%

STATEMENT OF FINANCIAL POSITION

AS AT	31 DEC 2024 (AUDITED) (Rs. '000)	31 DEC 2023 (AUDITED) (Rs. '000)	Change %
Assets			
Cash and Cash Equivalents	17,070,765	11,100,863	54%
Balances with Central Bank of Sri Lanka	7,078,039	9,446,863	(25%)
Placements with Banks	38,311,690	42,474,570	(10%)
Placements with Licensed Finance Companies	507,640	81	626,616%
Derivative Financial Assets	177,461	194,267	(9%)
Financial Assets Designated at Fair Value through Profit or Loss	70,217	8,994	681%
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	111,301,849	89,658,060	24%
Financial Assets Measured at Fair Value through Other Comprehensive Income	348,711	319,000	9%
Other Assets - Financial	2,829,580	2,006,909	41%
Property, Plant, Equipment And Right-of-Use Assets	2,968,027	2,775,396	7%
Intangible Assets	337,563	379,309	(11%)
Other Assets - Non Financial	510,950	303,034	69%
Deferred Tax Assets	824,317	784,430	5%
Total Assets	182,336,809	159,451,776	14%
Liabilities			
Due to Banks	18,949	321,167	(94%)
Derivative Financial Liabilities	22,857	948	2,311%
Financial Liabilities at Amortised Cost - Due to Depositors	154,405,710	132,937,607	16%
Other Liabilities - Financial	4,099,975	3,391,138	21%
Current Tax Liabilities	473,465	722,144	(34%)
Dividend Payable	99,471	6,326	1,472%
Retirement Benefit Liability	186,731	130,416	43%
Other Liabilities - Non Financial	187,790	245,446	(23%)
Total Liabilities	159,494,948	137,755,192	16%
Shareholders' Funds			
Stated Capital	17,633,461	17,633,461	-
ESOP Reserve	78,518	50,979	54%
Statutory Reserve Fund	355,174	266,441	33%
Revaluation Reserve	1,006,066	1,007,191	(0%)
Fair Value Reserve	101,598	71,888	41%
Retained Earnings	3,667,044	2,666,624	38%
Total Equity	22,841,861	21,696,584	5%
Total Liabilities and Shareholders' Funds	182,336,809	159,451,776	14%
Net Asset Value per Ordinary Share	41.45	39.37	
Commitments and Contingencies	49,602,675	40,739,750	

CERTIFICATION:

I certify that these Financial Statements comply with the requirements of the Companies Act No. 07 of 2007.

Sgd

M. Ali Wahid

Chief Financial Officer

20 February 2025

We, the undersigned, being Chairman and Managing Director / Chief Executive Officer of Amana Bank PLC certify jointly that:-

(a) the above statements have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka and Rule 7.4 of Colombo Stock Exchange.

(b) the information contained in these statements have been extracted from the audited Financial Statements of the Bank.

Sgd

Ali Asghar Akbarally

Chairman

20 February 2025

Sgd

Mohamed Azmeer

Managing Director / CEO

20 February 2025

STATEMENT OF CHANGES IN EQUITY

	Stated Capital	ESOP Reserve	Statutory Reserve Fund	Revaluation Reserve	Fair Value Reserve	Retained Earnings	Total
As at 31 December 2022 (Audited)	11,348,821	-	197,102	1,008,277	85,393	1,721,762	14,361,355
Profit for the Year	-	-	-	-	-	1,386,777	1,386,777
Other Comprehensive Income	-	-	-	-	(13,505)	(3,503)	(17,008)
Scrip Dividend - 2023	283,963	-	-	-	-	(283,963)	-
WHT on Scrip Dividend	-	-	-	-	-	(50,111)	(50,111)
Rights Issue	6,000,677	-	-	-	-	-	6,000,677
Share Issue Expenses	-	-	-	-	-	(36,085)	(36,085)
Share-Based Payment Expense	-	50,979	-	-	-	-	50,979
Transfers to Statutory Reserve Fund	-	-	69,339	-	-	(69,339)	-
Transferred to Retained Earnings	-	-	-	(1,086)	-	1,086	-
As at 31 December 2023 (Audited)	17,633,461	50,979	266,441	1,007,191	71,888	2,666,624	21,696,584
Profit for the Year	-	-	-	-	-	1,774,666	1,774,666
Other Comprehensive Income	-	-	-	-	29,710	(25,287)	4,423
Share-Based Payment Expenses	-	27,539	-	-	-	-	27,539
Interim Dividend 2024	-	-	-	-	-	(661,351)	(661,351)
Transfers to Statutory Reserve Fund	-	-	88,733	-	-	(88,733)	-
Transferred to Retained Earnings	-	-	-	(1,125)	-	1,125	-
As at 31 December 2024 (Audited)	17,633,461	78,518	355,174	1,006,066	101,598	3,667,044	22,841,861

STATEMENT OF CASH FLOWS

FOR THE

	YEAR ENDED 31 DECEMBER	
	2024 (Rs. '000)	2023 (Rs. '000)
Cash Flows from Operating Activities		
Financing Income Received	15,707,102	17,935,909
Fees and Commission Received	1,074,222	932,294
Financing Expenses Paid	(9,296,580)	(9,910,639)
Foreign Exchange Income	693,113	1,765,214
Gratuity Payments Made	(13,473)	(18,785)
Payments to Employees and Suppliers	(5,230,147)	(4,384,224)
Operating Profit/(Loss) before Changes in Operating Assets and Liabilities	2,934,237	6,319,769
(Increase) / Decrease in Operating Assets		
Financing and Receivable to Other Customers	(21,933,498)	(8,583,665)
Other Assets	(1,129,559)	(479,965)
Balance with Central Bank of Sri Lanka	2,368,823	(4,361,184)
Increase / (Decrease) in Operating Liabilities		
Due to Other Customers	22,251,557	19,621,914
Due to Banks	(302,217)	(11,535,556)
Other Liabilities	689,896	1,501,531
Net Cash Generated from Operating Activities before Income Tax	4,879,239	2,482,844
Income Tax Paid	(1,289,907)	(1,136,265)
Net Cash (Used in) / From Operating Activities	3,589,332	1,346,579
Cash Flows From/(Used In) Investing Activities		
Acquisition of Property, Plant & Equipment	(257,711)	(101,651)
Proceeds from Sale of Property, Plant and Equipment	72	48
Acquisition of Intangible Assets	(130,399)	(118,193)
Investments in Placements with Banks	(500,003)	(4)
Investments in Placements with Licensed Finance Companies	3,849,995	(18,610,006)
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	5,918	2,935
Dividend Received from Financial Assets	(19,192)	65,680
Net Cash (Used in) / From Investing Activities	2,948,680	(18,761,191)
Cash Flows from Financing Activities		
Rights Issue of Shares	-	6,000,677
Share Issue Expenses	-	(86,196)
Dividend Paid	(568,206)	(26)
Net Cash From / (Used In) Financing Activities	(568,206)	5,914,455
Net Increase / (Decrease) in Cash and Cash Equivalents	5,969,806	(11,500,157)
Cash and Cash Equivalents at the Beginning of the Year	11,107,767	22,607,924
Cash and Cash Equivalents at the End of the Period - Gross of Allowance for Impairment	17,077,573	11,107,767

CASH AND CASH EQUIVALENTS

	2024 (Rs. '000)	2023 (Rs. '000)
Cash in Hand	11,257,037	5,513,439
Balances with Banks	5,820,536	5,594,328
	17,077,573	11,107,767
Less: Allowance for Impairment	(6,808)	(6,904)
Total	17,070,765	11,100,863

NOTES TO THE FINANCIAL STATEMENTS

01. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies stated in the Annual Financial Statements describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in SLFRS 9 and by headings of the Statement of Financial Position.

RUPEES IN THOUSANDS			
	FAIR VALUE THROUGH PROFIT OR LOSS	AMORTIZED COST	FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME
			TOTAL AS AT 31.12.2024 (AUDITED)
Financial Assets			
Cash and Cash Equivalents	-	17,070,765	-
Balances with Central Bank of Sri Lanka	-	7,078,039	-
Placements with Banks	-	38,311,690	-
Placements with Licensed Finance Companies	-	507,640	-
Derivative Financial Assets	177,461	-	-
Financial Assets Designated at Fair Value through Profit or Loss	70,217	-	-
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	111,301,849	-
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	348,711
Other Assets - Financial	-	2,829,580	-
Total Financial Assets	247,678	177,099,563	348,711
Financial Liabilities			
Due to Banks	-	18,949	-
Derivative Financial Liabilities	22,857	-	-
Financial Liabilities at Amortised Cost - Due to Depositors	-	154,405,710	-
Other Liabilities - Financial	-	4,099,975	-
Total Financial Liabilities	22,857	158,524,634	-

	FAIR VALUE THROUGH PROFIT OR LOSS	AMORTIZED COST	FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	TOTAL AS AT 31.12.2023 (AUDITED)
Financial Assets				
Cash and Cash Equivalents	-	11,100,863	-	11,100,863
Balances with Central Bank of Sri Lanka	-	9,446,863	-	9,446,863
Placements with Banks	-	42,474,570	-	42,474,570
Placements with Licensed Finance Companies	-	81	-	81
Derivative Financial Assets	194,267	-	-	194,267
Financial Assets Designated at Fair Value through Profit or Loss	8,994	-	-	8,994
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	89,658,060	-	89,658,060
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	319,000	319,000
Other Assets - Financial	-	2,006,909	-	2,006,909
Total Financial Assets	203,261	154,687,346	319,000	155,209,607
Financial Liabilities				
Due to Banks	-	321,167	-	321,167
Derivative Financial Liabilities	948	-	-	948
Financial Liabilities at Amortised Cost - Due to Depositors	-	132,937,607	-	132,937,607
Other Liabilities - Financial	-	3,391,138	-	3,391,138
Total Financial Liabilities	948	136,649,912	-	136,650,860

02. FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

RUPEES IN THOUSANDS

ANALYSIS OF FINANCING AND RECEIVABLES TO OTHER CUSTOMERS	31.12.2024 (AUDITED)	31.12.2023 (AUDITED)
Gross Financing and Receivables to Other Customers	117,521,906	95,587,204
Accumulated Impairment		
Stage 1	(1,560,406)	(1,131,910)
Stage 2	(2,233,037)	(2,675,414)
Stage 3	(2,426,614)	(2,121,820)
Net Financing and Receivables to Other Customers	111,301,849	89,658,060

NOTES TO THE FINANCIAL STATEMENTS

ANALYSIS OF FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - (Contd...)

FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - BY PRODUCT

RUPEES IN THOUSANDS

By Product - Domestic Currency	31.12.2024 (AUDITED)	31.12.2023 (AUDITED)
Overdraft	13,291,096	8,881,574
Trade Finance	1,992,493	637,338
Lease Receivables	9,126,642	5,551,287
Staff Facilities	1,170,618	715,175
Term Financing	71,397,952	62,347,061
Gold Facilities	11,683,154	11,744,010
Others	145,889	594,422
Sub Total	108,807,844	90,470,867
By Product - Foreign Currency		
Overdraft	757,750	32,586
Term Financing	5,513,572	3,944,462
Trade Finance	2,378,280	1,009,372
Others	64,460	129,917
Sub Total	8,714,062	5,116,337
Total	117,521,906	95,587,204

03. IMPAIRMENT ALLOWANCE FOR FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

A reconciliation of the allowance for impairment losses for Financing and Receivables to Other Customers, under SLFRS 9 is as follows:

	RUPEES IN THOUSANDS			
	STAGE 1	STAGE 2	STAGE 3	TOTAL IMPAIRMENT
				(AUDITED)
ECL allowance as at 1 January 2024 under SLFRS 9	1,131,910	2,675,414	2,121,820	5,929,144
Charge/(Write Back) for the year	428,496	(442,377)	304,794	290,913
Amounts written off	-	-	-	-
As at 31 December 2024	1,560,406	2,233,037	2,426,614	6,220,057

	RUPEES IN THOUSANDS			
	STAGE 1	STAGE 2	STAGE 3	TOTAL IMPAIRMENT
				(AUDITED)
ECL allowance as at 1 January 2023 under SLFRS 9	980,928	1,711,996	1,226,947	3,919,871
Charge/(Write Back) for the year	150,982	963,418	997,123	2,111,523
Amounts written off	-	-	(102,250)	(102,250)
As at 31 December 2023	1,131,910	2,675,414	2,121,820	5,929,144

NOTES TO THE FINANCIAL STATEMENTS

04. COMMITMENTS AND CONTINGENCIES

ANALYSIS OF COMMITMENTS AND CONTINGENCIES	RUPEES IN THOUSANDS	
	31.12.2024 (AUDITED)	31.12.2023 (AUDITED)
Gross Commitments and Contingencies	49,691,818	40,827,874
Allowance for Impairment		
Stage 1	(58,671)	(69,049)
Stage 2	(18,898)	(12,781)
Stage 3	(11,574)	(6,294)
Net Financing and Receivables to Other Customers	49,602,675	40,739,750

FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - BY PRODUCT

	RUPEES IN THOUSANDS	
	31.12.2024 (AUDITED)	31.12.2023 (AUDITED)
Commitments for Unutilised Facilities	14,218,545	13,852,696
Letters of Credit	4,836,373	1,684,792
Guarantees, Bonds	6,313,056	4,718,325
Outward Clearing Cheques	794,832	779,852
Acceptances	5,814,914	4,383,996
Bills for Collection and Others	3,536,910	2,768,973
Promissory Forward Sales	11,588,490	11,667,240
Promissory Forward Purchases	2,588,698	972,000
Total	49,691,818	40,827,874

05. DUE TO OTHER CUSTOMERS - BY PRODUCT

ANALYSIS OF DEPOSITS	RUPEES IN THOUSANDS	
	31.12.2024 (AUDITED)	31.12.2023 (AUDITED)
By Product - Domestic Currency		
Demand Deposits	10,893,877	7,919,680
Savings Deposits	49,742,595	39,136,072
Time Deposits	66,056,875	58,708,725
Sub Total	126,693,347	105,764,477
By Product - Foreign Currency		
Demand Deposits	1,419,139	1,137,636
Savings Deposits	5,890,455	4,609,742
Time Deposits	20,402,769	21,425,752
Sub Total	27,712,363	27,173,130
Total	154,405,710	132,937,607

NOTES TO THE FINANCIAL STATEMENTS

06. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES

All financial assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, as described below.

- Level 1 Quoted price (unadjusted) in active markets for the identical assets or liabilities. This level includes listed equity securities and / or debt instruments.
- Level 2 Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 Inputs for asset or liability that are not based on observable market data (unobservable inputs). This level includes equity and / or debt instruments with significant unobservable components.

	LEVEL 1	LEVEL 2	LEVEL 3	RUPEES IN THOUSANDS TOTAL (AUDITED)
As at 31 December 2024				
Financial Assets				
Derivative Financial Assets	-	177,461	-	177,461
Financial Assets Designated at Fair Value through Profit or Loss	70,217	-	-	70,217
Income	345,718	-	2,993	348,711
	415,935	177,461	2,993	596,389
Financial Liabilities				
Derivative Financial Liabilities	-	22,857	-	22,857
	-	22,857	-	22,857

	LEVEL 1	LEVEL 2	LEVEL 3	RUPEES IN THOUSANDS TOTAL (AUDITED)
As at 31 December 2023				
Financial Assets				
Derivative Financial Assets	-	194,267	-	194,267
Financial Assets Designated at Fair Value through Profit or Loss	8,994	-	-	8,994
Income	316,007	-	2,993	319,000
	325,001	194,267	2,993	522,261
Financial Liabilities				
Derivative Financial Liabilities	-	948	-	783,200
	-	948	-	783,200

Derivative Financial Assets and Liabilities:

Derivative products are promissory forward foreign exchange transactions, valued using a valuation technique with market-observable inputs. The most frequently applied valuation techniques include promissory forward foreign exchange spot and Net Present Value.

Financial Assets Recognised through Profit or Loss - Measured at Fair Value, Financial Assets Measured at Fair Value through Other Comprehensive Income

The estimated fair values are based on quoted and observable market prices.

Financial Instruments not carried at Fair Value

Set out below is a comparison, by class, of the carrying amounts and fair values of the Bank's financial instruments that are not carried at fair value in the Financial Statements. This table does not include the fair values of Non-Financial Assets and Non-Financial Liabilities.

	31.12.2024		31.12.2023	
	CARRYING VALUE (AUDITED)	FAIR VALUE (AUDITED)	CARRYING VALUE (AUDITED)	FAIR VALUE (AUDITED)
Financial Assets				
Cash and Cash Equivalents	17,070,765	17,070,765	11,100,863	11,100,863
Balance with Central Bank of Sri Lanka	7,078,039	7,078,039	9,446,863	9,446,863
Placements with Banks	38,311,690	38,311,690	42,474,570	42,490,688
Placements with Other Companies	507,640	507,640	81	81
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	111,301,849	100,640,222	89,658,060	87,894,133
Other Assets - Financial	2,829,580	2,829,580	2,006,909	2,006,909
	177,099,563	166,437,936	154,687,346	152,939,537
Financial Liabilities				
Due to Banks	18,949	18,949	321,167	321,167
Financial Liabilities at Amortised Cost - Due to Depositors	154,405,710	154,405,710	132,937,607	132,937,607
Other Liabilities - Financial	4,099,975	4,099,975	3,391,138	3,391,138
	158,524,634	158,524,634	136,649,912	136,649,912

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the Financial Statements:

Balances with Banks, Balances with Licensed Finance Companies, Other Financial Assets and Other Financial Liabilities

For the above, the carrying value is a reasonable estimate of fair values.

Financial Assets at Amortised Cost - Financing and Receivables to Other Customers

The fair value of the above are estimated by discounting the estimated future cash flows using the prevailing market rates for financing as of the reporting date with similar credit risks and maturities (Level 3).

Financial Liabilities at Amortised Cost - Due to Depositors

The fair values of the above are deemed to approximate their carrying amounts as rate of returns are determined at the end of their holding periods based on the profit generated from the relevant investments.

NOTES TO THE FINANCIAL STATEMENTS

07. SELECTED PERFORMANCE INDICATORS (AS PER REGULATORY REPORTING)

	AS AT 31.12.2024 (AUDITED)	AS AT 31.12.2023 (AUDITED)
Regulatory Capital (Rs. '000)		
Common Equity Tier 1 (before applicable adjustments)	21,716,638	20,609,660
Common Equity Tier 1 (after applicable adjustments)	20,414,588	19,324,373
Tier 1 Capital	20,414,588	19,324,373
Total Capital	23,882,001	22,600,754
Regulatory Capital Ratios (%)		
Common Equity Tier 1 Capital Ratio (Minimum Requirement 7.0%)	15.0%	16.5%
Tier I Capital Ratio (Minimum Requirement 8.5%)	15.0%	16.5%
Total Capital Ratio (Minimum Requirement 12.5%)	17.6%	19.3%
Leverage Ratio % (Minimum Requirement 3%)	10.6%	11.6%
Regulatory Liquidity		
Liquidity Coverage Ratio (%) (Minimum Requirement 100%)		
- Rupee (%)	368.5%	300.0%
- All Currency (%)	252.8%	234.9%
Net Stable Funding Ratio (%) (Minimum Requirement 100%)	129.4%	187.7%
Assets Quality (Quality of Financing and Advance Portfolio)		
Impaired Financing and Advances (Stage 3) Ratio (%)	1.3%	1.5%
Impairment (Stage 3) to Stage 3 Financing and Advances Ratio (%)	59.6%	56.5%
Profitability		
Financing Margin (%)	4.0%	4.3%
Return on Assets (Before Tax) (%)	1.6%	1.5%
Return on Equity (%)	8.0%	7.7%
Cost to Income (%)	53.0%	42.0%
Memorandum Information		
Credit Rating	BBB-(Ika) Fitch Ratings	BB+(Ika) Fitch Ratings
Number of Employees	899	886
Number of Branches	33	33

NOTES TO THE FINANCIAL STATEMENTS

08. SEGMENT INFORMATION

The following table presents information on total income, profit, total assets and liabilities regarding the Bank's operating segments.

FOR THE YEAR ENDED 31 DECEMBER 2024	RUPEES IN THOUSANDS					
	CONSUMER BANKING	BUSINESS BANKING	TOTAL BANKING	TREASURY	UNALLOCATED / ELIMINATION	TOTAL (AUDITED)
Income						
Financing Income	3,962,917	8,849,676	12,812,593	2,586,969	-	15,399,562
Net Fee and Commission Income	424,952	583,108	1,008,060	69,278	-	1,077,338
Net Trading Income	-	-	-	693,113	-	693,113
Net Gains / (Losses) from Financial Investments at Fair Value Through Profit or Loss	-	-	-	38,985	-	38,985
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	(70)	-	(70)
Other Operating Income	-	-	-	5,990	-	5,990
Total Income	4,387,869	9,432,784	13,820,653	3,394,265	-	17,214,918
Less						
Financing Expenses			(8,493,986)	(10,640)	(20,647)	(8,525,273)
Impairment Charges			(291,933)	2,320	-	(289,613)
Operating Expenses			(3,272,400)	(1,336,614)	-	(4,609,014)
Operating Profit Before VAT on FS & SSCL			1,762,334	2,049,331	(20,647)	3,791,018
VAT on FS & SSCL						(1,004,175)
Profit Before Tax						2,786,843
Tax Expense						(1,012,177)
Profit After Tax						1,774,666
Total Assets	29,270,553	82,031,296	111,301,849	56,067,556	14,967,404	182,336,809
Total Liabilities	122,538,353	31,867,357	154,405,710	22,857	5,066,381	159,494,948

FOR THE YEAR ENDED 31 DECEMBER 2023	RUPEES IN THOUSANDS					
	CONSUMER BANKING	BUSINESS BANKING	TOTAL BANKING	TREASURY	UNALLOCATED / ELIMINATION	TOTAL (AUDITED)
Income						
Financing Income	3,944,671	10,581,391	14,526,062	2,712,311	-	17,238,373
Net Fee and Commission Income	329,253	593,206	922,459	8,852	-	931,311
Net Trading Income	-	-	-	1,765,214	-	1,765,214
Net Gains / (Losses) from Financial Investments at Fair Value Through Profit or Loss	-	-	-	15,113	-	15,113
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	983	-	983
Other Operating Income	-	-	-	2,983	-	2,983
Total Income	4,273,924	11,174,597	15,448,521	4,505,456	-	19,953,977
Less						
Financing Expenses			(10,178,913)	(501,401)	(63,136)	(10,743,450)
Impairment Charges			(2,105,115)	(15,628)	-	(2,120,743)
Operating Expenses			(2,748,461)	(1,122,611)	-	(3,871,072)
Operating Profit Before VAT on FS			416,032	2,865,816	(63,136)	3,218,712
VAT on FS & SSCL						(906,520)
Profit Before Tax						2,312,192
Tax Expense						(925,415)
Profit After Tax						1,386,777
Total Assets	23,861,520	65,796,540	89,658,060	53,769,781	16,023,935	159,451,776
Total Liabilities	99,282,724	33,654,883	132,937,607	202,635	4,614,950	137,755,192

EXPLANATORY NOTES

1. These Interim Financial Statements have been prepared in accordance with LKAS 34 - Interim Financial Reporting and present information required by Listing Rules of Colombo Stock Exchange.
2. The interim condensed Financial Statements do not include all the information and disclosure required in the Annual Financial Statements, and should be read in conjunction with the latest Annual Financial Statements.
3. During the year, the Bank consolidated its shares in the ratio of every existing Ten (10) shares in to One (1) share. In view of this, the Net Asset Value per Ordinary Share as at 31 Dec 2023, has been suitably adjusted for better comparability.

There are no material events that took place after the Statement of Financial Position date which require adjustment to or disclosures in the Financial Statements.

4. The accounting policies adopted in the presentation of the interim condensed Financial Statements are consistent with those followed in the preparation of the Bank's Annual Financial Statements for the year ended 31 December 2024.
5. Comparative figures have been restated wherever necessary to conform to the current period's presentation.
6. There has not been a significant change in the nature of the contingent liabilities as disclosed in the Latest Financial Statements.
7. Market Price of Ordinary Shares (the Bank listed its ordinary shares on the Colombo Stock Exchange on 29 January 2014) :

	2024 Rs.	2023 Rs.
Last Traded Price as at 31 December	24.60	2.30
Highest Market Price during the quarter ended 31 December	25.00	2.40
Lowest Market Price during the quarter ended 31 December	22.10	2.10

EXPLANATORY NOTES

09. TWENTY LARGEST SHAREHOLDERS AS AT 31 DECEMBER 2024

No	Name of Shareholder	No. of Shares	%
1	IB Growth Fund (Labuan) LLP	137,277,245	24.91%
2	Sampath Bank PLC / Senthilverl Holdings (Pvt) Ltd	60,915,858	11.05%
3	Mr. Sadiq Omar	49,433,445	8.97%
4	Mr. Osman Kassim / Mrs. Khairunniss Kassim / Mr. Abdullah Kassim	34,466,896	6.25%
5	Cargills Bank Limited / Senthilverl Holdings (Pvt) Ltd	29,022,673	5.27%
6	AB Bank Limited	20,949,916	3.80%
7	Bank Islam Malaysia Berhad	20,949,916	3.80%
8	Quick Tea Pvt Ltd	20,476,459	3.72%
9	Islamic Development Bank	18,339,298	3.33%
10	Akbar Brothers Pvt Ltd A/C No 1	18,302,459	3.32%
11	E.W. Balasuriya & Co. (Pvt) Ltd Acc No 01	13,043,478	2.37%
12	Domon Ltd	11,573,996	2.10%
13	P M Mohamedali & Co	8,753,665	1.59%
14	Millennium Capital Investments Pte Ltd	8,138,133	1.48%
15	Mr. Mohamed Aadil Mohamed Asmath	7,437,440	1.35%
16	Mr. Hanif Yusoof	6,747,826	1.22%
17	Mr. Shafik Kassim	6,445,236	1.17%
18	Mr Mohamed Adnaan Mohamed Iqbal	5,202,507	0.94%
19	Mr. Sattar Kassim	4,724,466	0.86%
20	Mr. Nagi Saleh Mohammed Alfaqih	4,337,591	0.79%
Sub total		486,538,503	88.28%
Other Shareholders (Number of Shareholders 8,902)		64,587,243	11.72%
Total		551,125,746	100.00%

Percentage of Public Holding as at 31 December 2024

39.01%

Number of Shareholders

8,629

Float adjusted market capitalisation

Rs 5.27 Bn

Bank complies with the minimum public holding requirement under option 3 as specified by rule 7.13.1 (a) of the Listing Rules of Colombo Stock Exchange

10. DIRECTORS' HOLDING IN SHARES AS AT 31 DECEMBER 2024

Name	No. of Shares
Mr. Ali Asghar Akbarally	Nil
Mr. Mohamed Azmeer	300,000
Mr. Tishan Subasinghe	Nil
Mr. Dilshan Hettiaratchi	Nil
Mr. M Ataur Rahman Chowdhury	Nil
Mr. S M Asim Raza	Nil
Mr. K M P B Abdullah	Nil
Mr. Mohamed Adamaly	Nil
Mr. Mohammad Hassan	Nil
Mr. Delvin Pereira	Nil
Mr. Azreen Zaheer	Nil